

# **GREAT HARVEST BANKERS SACCO**

## **ANNUAL GENERAL MEETING**

### **CHAIRMAN’S STATEMENT**

*DATE: 09<sup>th</sup> May, 2026*

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## Introduction:

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On behalf of the board of Great Harvest Bankers SACCO, we would like to thank you members for giving us the opportunity and trust to guide sacco operations during the financial year 2025. And for me, as chairman, I take this opportunity to thank my colleagues on the board for the relentless efforts in ensuring that our sacco takes the strides it has taken during the year 2025. Remember that these ladies and gentlemen are volunteers and have to take long hours reading reports, comparing sacco performance with other saccoes and travelling long distances for board and committee meetings. I also thank management for the job well done during this financial year.

The Regulators, especially Ms. Sarah Remitious Namugoye gave us a lot of guidance on how we can comply with the law and also optimize our operations and the bottom line.

The Supervisory committee also did its job very well and from the report availed to us for comments, I see there were no major areas of disagreement nor discoveries of fraud.

## Obituaries:

Last year 2025, we lost a number of members namely;

1. Mr. John Lukas Atenu
2. Mr. Yuventine Onyait
3. Mr. James Magabo
4. Ms. Ddamulira Robina Lule.

We have lost 14 people since the sacco started.

May their souls rest in eternal peace.

## SACCO Structures

As you may be aware, the sacco is managed through committees namely:

Executive (BOARD) – Reports to the AGM

Finance and Investment – Reports to Board

Savings and Credit – Reports to Board

Human Resource - Reports to Board

Supervisory – Reports to the AGM

Vetting Committee – Reports to AGM

External Auditors – Report to the AGM.

My report will dwell on the operations of the above committees in relation to the business plan for the year 2025 and the Chief Executive Officer will report on all other operational aspects of the sacco.

## Executive Committee (BOARD)

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The board is comprised of seven (Executive Committee) members namely,

Mr. Fred Ruhakana – Chairman

Mr. Henry Tamale – Vice Chairman

Mr. Jackson Semakula Katende – Secretary

Ms. Margaret Kiggundu – Member – Chairperson Savings and Credit Committee

Mr. Kezekia Kizito – Member – Treasurer/Chairman Finance & Investment committee

Mr. Ivan Balondemu – Member and Chairman, Human Resources & Member Affairs Committee.

Mr. David T. R. Ogwal – Member and CEO.

The Chairperson emeritus, Mrs. Grace Kasisira is also still consulted from time to time especially on issues of strategy implementation. I also normally consult her for guidance on certain issues for counsel and opinion.

Mr. Ivan Balondemu informed the board that he will be retiring before his current term expires. We wish to thank him very much for his service as a board member since the sacco started. He has been chairman, Human Resources and Member Affairs Committee.

The board recommends that a gratuitous consideration of:

1. Shares – 134 shares each shs15,000.
2. Cash – shs1,000,000.

As we replace Mr. Balondemu, I am of the personal view, based on what I have observed other sacco do, that executive level positions should be filled by members in very good standing. In fact all board members, SUPCO members, vetting committee members should have a prescribed minimum number of shares. E.g.

1. Chairman and vice chairman - at least 200 shares
2. SUPCO Chairman – at least 180 shares
3. Vetting committee chairman – at least 180 shares
4. All other members – at least 150 shares.

It would also be good if we could have a young person, preferably a non-BOU staff or retired staff being appointed to the board to represent interests of this group of people.

The board has done its best during the year under review to ensure effective coordination of operations, preservation of assets and growth of member funds as you will see in the presentations to this AGM.

## Human Resource and Member Affairs.

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### SACCO Management

The sacco is managed by a CEO and two staff members responsible for accounts and credit and member affairs respectively. The CEO's contract expired in October 2025 but has not been renewed. He continued to work as CEO on request by the board. The board is of the view that a CEO should be replaced with a Manager. Applications are invited to fill the position of manager but received only one response from members. The current CEO also expressed interest in continuing to serve as CEO. The proposal to recruit a Chief Finance Officer (CFO) to handle operations while the CEO handles strategic work is respectfully not recommended by the board as it would be another management expense. The core banking software which was procured from UCSCU will also reduce the workload of operational staff further reducing the necessity of recruiting an additional staff member.

On the issue of remuneration of staff, the salaries are still modest considering that the sacco income is still not able to offer competitive salaries. The HR committee has however recommended that salaries should be enhanced for staff and for Manager/CEO.

SUPCO has rightly observed that expenses relating to management and governance are high and has advised that ways of reducing it should be sought. The board however would like to inform members that the sitting allowances they get barely covers their transport and lunch when they come for board or committee meetings.

Members may wish to know that operational expenses as a ratio of net income has reduced from 82.5% in 2024 to 69.4% in 2025. This is still high as the benchmark is 20% or less.

It is however important to understand that governance and management expenses are fixed costs and will reduce with higher income. We must strive to get to these high income streams.

The board made a decision to hold quarterly board and committee meetings physically since they have lots of papers to read but hold all other meetings virtually. A soft loan was advanced to members of the board and all other committees can access that loan product to enable them conduct meetings in the comfort of their sitting rooms. This kills three birds with one stone namely

1. SACCO saving on sitting allowances of committee members.
2. Saving on transport charges by members and time due to traffic inconveniences
3. Meeting for longer hours since there will be no rush to beat the traffic.

The AGM is hereby requested to retrospectively approve this soft loan to committee.

### Office space

The office located in room 249, Equatorial Mall close to the bank clinic gives easy access to members especially the retired staff who may otherwise find it difficult to access it if it was located far from the clinic. However, the place (along Kaggwe road) is very noisy and holding a meeting there is very problematic. In addition, one office is insufficient to accommodate staff when the board, SUPCO and vetting committees have meetings. Staff have to stay away when committees are holding meetings. The Equatorial Mall toilets are pathetic to say the least!! We must leave that place as soon as possible.

We intend to rent more rooms preferably in a less noisy place. Our expenditure will also go up. This may negatively affect our surplus or bottom line during this financial year.

### Member welfare

Terminal Insurance policy with ICEA

This insurance product benefits fully subscribed members of the sacco. Members who pass on are entitled to terminal benefit of shs30 million and shs3 million contribution towards funeral expenses. In addition, all loans of the member who passes on are fully paid by the insurance company. All this for a premium of shs200,000 per member. A spouse, who may not be a member of the sacco is also allowed to benefit from this insurance product as long as she/he pays the premium. The age limit for this facility is 75 years. This has worked well so far. Members who are not subscribed to this insurance cover are highly encouraged to do so to reduce the financial stress to the loved ones left behind.

A new product linked to our saving products that targets members who may pass on after 75 years (which is the most desired group most of us would like to belong) is proposed as follows:

Members who subscribes to this scheme will keep a portion of the money saved specifically tagged to terminal benefits and cannot be withdrawn. It's kind of a perpetual bond redeemed upon the demise of the member. The money so saved will continue to earn interest for the member and can be used to determine how much a member can borrow. Currently, a member can borrow up to three times his/her shares plus his/her savings.

Upon demise of the member, all his savings under this scheme will be paid immediately to his/her nominee plus 50 percent of that amount as sacco contribution. That amount will be in addition to the insurance burial cover of shs3 million through ICEA.

The board recommends that the savings associated with this product be at least 5 million.

A member below 75 years can opt to benefit from both schemes if he/she so wishes.

### Health Insurance scheme

Management is working with Jubilee Insurance company to benefit from a scheme currently being promoted with banks especially DFCU bank. The scheme is called Blue wave health cover. The scheme requires premium of shs986,000 per annum. Under this cover, a subscriber is entitled to:

1. Inpatient limit of shs50 million
2. Outpatient limit of shs 2 million
3. Optical limit of shs450,000
4. Dental limit of shs450,000
5. Maternity limit of shs2,000,000
6. Cash education benefit of 350,000
7. Hospital cash back of shs20,000 per day (up to 14 days)
8. Total permanent disability of shs3 million.

I encourage our children to subscribe to this scheme.

### Enhancement of benefits to members

As you be aware, cooperative law allows declared dividends of only 10% of surpluses after statutory provisions. That means that if our sacco makes a net surplus of shs52 million and shares of, say, 26,600(current number of shares). The dividends will be only shs5,200,000 million i.e. shs195 per share. So, a fully paid up member of 100 shares will receive shs19,500!! Shillings 46.8 million will be kept for the growth of the sacco!!! i.e. for future generation.

A decision has to be made at the AGM whether members want to continue building for the future generation or whether they want to benefit now or in the near future.

The board recommends that a payment or benefit of an agreed/approved amount be made before the AGM as a social benefit to members, not a dividend. This will of course reduce the dividend payout at the AGM. The board recommends 50% of the expected net surplus.

This benefit decision should however be made after the sacco has reached a critical sustainability threshold of assets (both long term and short term) of 3 billion shillings.

For information, some sacco's are already doing it.

## Finance and Investment

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A few highlights of our financial performance: (Treasurer will give a detailed report)

### Assets:

Total assets increased to **shs1,082,926,195** as at December 2025 from **shs659,753,724** as at Dec 2024. This was whooping 64.14 percent in one year!!! Please join me to congratulate the board and management for this achievement.

Equity (i.e. share capital + reserves + retained earning + donations – Dividends) increased to shs411,128,832 as at Dec 2025 from shs210,970,491 at Dec 2024. This was an increase of 94.87 percent. Again the board and management of our great sacco deserve another round of applause.

#### Surplus earnings/Gross profits (before provisions)

Surplus earnings increased to shs 67,917,183 as at Dec 2025 from shs15,517,725 representing a **whopping 337.67 percent** in one year.

Now that our assets, which of course are mainly financed by members saving are in excess of one billion, we should say that we are in high gear and ready to take off as a self-sustaining sacco provided our savings are increased.

#### Let's look at a few ratios:

| Ratio Description                                 | 2024            | 2025              | Benchmark        | Comment                                                                                                |
|---------------------------------------------------|-----------------|-------------------|------------------|--------------------------------------------------------------------------------------------------------|
| 1. Return on Assets                               | 3.14            | 6.33              | Above 5          | We beat the benchmark                                                                                  |
| 2. Price earnings Ratio                           | 8               | 4                 | Less than 3      | Measures operational efficiency. How much shs we pay to earn one shs.                                  |
| 3. Shrinkage sustainability Ratio/Liquidity Ratio | 38%             | 62%               | Greater than 50% | Measures how much current assets can shrink without making it impossible to cover current liabilities. |
| 4. Earnings Per Share (EPS)                       | 1,221           | 2,540             |                  |                                                                                                        |
| 5. Gross Earnings                                 | Approx 20 Mill  | Approx 68 Mill    |                  | 227% Increase                                                                                          |
| 6. Total Equity                                   | Approx 211 Mill | Approx 412 Mill   |                  | 95% Increase                                                                                           |
| 7. Total Assets                                   | Approx 660 Mill | Approx 1.07 Biln. |                  | 62% Increase. Past one Billion                                                                         |
|                                                   |                 |                   |                  |                                                                                                        |

To get a good value of ratio number 3, it is important to ensure that current assets are much higher than current liabilities i.e. while we need savings (liabilities), shares and equity generally should be much higher.

To achieve the above, the sacco agrees with SUPCO's recommendation of changing the loan amount eligibility formula to 4 X shares + 2X savings. I request this AGM to approve this loan amount eligibility criteria from the current one of 3X shares+ 3X savings. Of course other share improvement strategies are in place and the Treasurer may give us more insight.

## Investments

The sacco board approved an investment portfolio with the aim of maximizing profitability taking into account the risk appetite the sacco may be willing to take.

The investment vehicles were:

1. Credit/Loans 50%
2. Real estate
3. Unit trusts
4. Fixed Income (T/Bills and T/Bonds)
5. Stocks/Shares (Listed companies)
6. Non Tradable stocks (e.g. shares in non-listed companies)

The sacco has been investing in credit, unit trusts and government securities. As it grows with more income and less absorption capacity for loans, we will be exploring other investment vehicles which are secure and give reasonably good returns. These will include stocks through Uganda securities exchange, real estate and Real Estate Investment Trusts (REITs) etc. This will be done under guidance of experts and regulators to avoid any errors and risks.

In facts experts are needed from time to time especially in areas sacco management and/or executive committee does not have necessary expertise or where there could be conflict of interest in making certain decisions.

## Savings and Credit

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If investment is a heart, savings and credit is a head of the sacco.

### Savings

Savings grew to shs660,487,432 as at Dec 2025 from shs412,521,394 as at Dec 2024 an increase of 60% in one year. Again this is a very impressive performance from you members.

Most of these savings are however from a few members. Most members are saving the bare minimum to remain bonafide members of the sacco. Remember that our organization is a savings and credit organization. So if you do not save and borrow regularly and payback promptly, you are not a good member of the sacco.

Members must save and borrow. If you do not borrow, where do you expect the sacco to generate income and surpluses to declare dividends and pay interest on your savings??

As you have heard from above, another savings product which we have called Terminal Insurance for seniors above 75, has been introduced. The seniors wanting to benefit from this product can start saving latest at age 70 years since the current arrangement expires at age 75 years. A standing order would smoothen the savings curve to avoid having to pay the minimum recommended in a short period of time when approaching 75 years.



Other savings products can be read in appendix.....

### Credit/Loans

Loans disbursed during the year 2025 amounted to shs812,952,158 from shs 418,400,000 in the year 2024. This was an increment of 94%. This was again overwhelming but we still have funds to lend more.

We expect members to come for more money in the remaining part of the year since conditions of borrowing have been much eased.

1. Interest has been reduced to 20% from 24% per annum
2. Loan fees have been reduced from 2% to 1.5%
3. Loan top-ups are now accepted before paying the loan by 50% as previously required
4. Loan amounts, depending on the loan product are up to shs35 million.

We recommend that share transfer between members be allowed for a fee. This will enable members wishing to borrow more money than their shares can be allowed to do so and the sacco would of course, also benefit. Other requirements to ensure that all risks are taken care of will of course remain in place. In fact for big loans (say above shs25 million), security will be required in addition to standing orders.

### Loan delinquency

Unfortunately, some members borrow and refuse to pay back forgetting that this money is from mainly retired people who worked so hard to earn the money they are saving.

The sacco management will have no mercy on any person who default, for any reason.

I'm glad to say that loan defaulting/delinquency has substantially reduced due to management requiring standing orders from Bank of Uganda for BOU staff and retired staff. The big delinquent loan of approximately 31 million shillings has been restructured and a standing order placed by the borrower. Since the restructuring took effect in the year 2026, our financial report will show much less net surplus after making a provision for this loan. The financial report of the year 2026 will therefore be in a much better position.

## SUPCO

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SUPCO is comprised of three people namely,

Mr. Katimbo-Mugwanya – Chairman

Ms. Harriet Kiwanuka – Member

Ms. Justine Muwanga – Member

We have continued to benefit from SUPCO's oversight activities. While it is mandated to report to the AGM, the board is normally given an opportunity to respond to any issues raised by SUPCO.

SUPCO is an external auditor, just like our external auditors (Augustus Associates). I recommend that we get an internal auditor who can come in periodically to check our internal systems and accounts. These internal auditors would report to the board.

## Vetting Committee

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The vetting committee is responsible for vetting board and staff after they are appointed. There are cases which require expertise in being recruited. Such cases would require experts in human resources which board may not have. In my opinion, as chairman, the vetting team or any other HR experts can be requested to help.

## Other business and strategic issues to work on during this financial year

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### Quick on-line loans program

Members are now able to borrow online with a limit of shs500,000 and repaid within 30 days (One month). If a borrower is however to meet his/her obligations, the loan is rolled forward for another month. Should the borrower still fail to pay, the loan is recovered from her/her savings. There is therefore zero default risk on short-term quick loans.

When the core banking system is fully operational, the application, disbursement and repayment of quick loans will be very easy to implement.

I request that quick loans should be based on a member's savings after netting off his/her other obligations such as loans taken, insurance obligations, mandatory/compulsory saving balances.

We propose that a member can borrow a quick loan of up to 10 percent of the savings net of the obligations highlighted above but interest be reduced to 3% per month for amounts above shs500,000.

### Members' micro-enterprise development programme

Members are encouraged to engage the sacco to help them develop their micro enterprises to avoid going into business without assessing associated risks and estimated returns. Quite often, retired people have gone into businesses unprepared and have faced catastrophic consequences; yet we have experts in many areas that could help. The sacco can also source external help where that expertise is not internally available. Even sharing experiences from members who are or attempted to do that business can help greatly.

If the sacco is engaged by its members, it will find it easy to lend to them without fear of loan default. It will be also be able to restructure the loan if the borrower faces an imminent default for reasons beyond his/her control.

## Membership diversification programme

The 2024 AGM approved sacco request to cautiously accept membership of non-BOU staff. The sacco has been received new young members but numbers are still low. We encourage members to recommend young people especially their children to join the sacco. There is no more fear of the sacco not surviving arising from poor financial performance. The survival now depends on ownership sustainability. This is important and urgent.

## Share price revaluation and the need for members to purchase shares now and not tomorrow.

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As you will hear from our Treasurer. The sacco estimates a total cumulative revenue in excess of shs3,355,000,000 in the year 2026.

This will however not be realized if members do not support sacco operations in terms of saving, buying more shares and borrowing.

It is recommended that every sacco member should save at least shs100,000 per month.

It is also recommended that every sacco member should possess at least 150 shares i.e. increase the minimum shareholding from 100 to 150 shares.

As you notice, the sacco has now reached a take off stage and we not looking at survival but growth and sustainability.

Last year, our share price was revalued to shs 15,000 per share because of a very impressive accumulated surplus. All new shares are now priced at shs15,000 per share.

In the near future, depending on sacco performance, shares might be repriced again. If you members will not have bought a good number of shares, you will find yourselves buying them at a much higher price.

## Summary – Resolutions for Consideration:

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1. Board member Ivan Balondemu be given a gratuitous consideration
2. New board member come from a younger group of non-BOU staff or former staff.
3. Number of shares an executive member should possess.
4. Increasing minimum share holding to 150
5. Saving at least shs100,000 per month
6. Should the sacco revert to being managed by a manager rather than a CEO?
7. Sacco managed terminal expenses financial plan (Mabugo) for members above 75 years and associated saving requirement of at least 5 million above normal savings. The recommended payout of 50% of the amount so saved. (additional to amount saved)
8. Payout to members during the year before AGM but after achieving a critical asset value before such action of shs5 billion (or maybe 3-4 billion?)

9. Loan amount eligibility formula change from 3xshare value + 3xsavings to 4xshares + 2x savings to improve equity and bring sacco sustainability.
10. Actualization of investment in real estate and possibly traded stocks on Uganda securities exchange.
11. Allowing the board to appoint an ad-hock committee or expert (s) in areas it's not technically competent in or of contention amongst members or conflict of interest.
12. Reward better savers and better borrowers. A proposal can be developed and presented to the next AGM.
13. Allow share transfer between members at a fee.
14. Quick online loans to be based on savings of applicants up to 10% of saved amounts but interest above 500,000 be reduced to 3% per month.

I wish you fruitful deliberations.

Thank you very much.

**Fred Ruhakana**

**Chairman.**